

Table 1
 Business cycles and asset returns

Model version/Moments	$\sigma_{\Delta C}/\sigma_{\Delta Y}$	$\sigma_{\Delta I}/\sigma_{\Delta Y}$	$E(r^f)$	$E(r^e - r^f)$
Benchmark	0.49	2.64	0.82	6.18
Standard RBC model (No habit, no adj. costs)	0.77	1.54	4.26	0.02
Risk aversion = 10, no habit, no adj. costs	0.78	1.53	3.36	0.26
Habit, no adjustment costs	0.33	3.00	4.20	0.03
Adjustment cost, no habit	1.14	0.68	3.91	0.67
Random walk productivity	0.55	2.57	0.03	6.39
Data	0.51	2.65	0.80	6.18